Principal sovereign functions like defence, police, jails, administration of justice, district administration, etc., were adjudged non-developmental. These services and expenditures were clubbed under ‘general services’ for planning, budgeting, presentational, allocation and accounting purposes.

It was also decided that expenditures of a social and economic nature, without a distinction of whether these constituted public goods and services or not, would be considered and classified as expenditures of a developmental nature.

Provision for health, education and development of SCs, STs and OBCs, for example, were categorized as development expenditure under a broad class of ‘social services’ expenditure. Expenditure on establishment of steel mills, power plants, nationalization of private industries and expansion of financial services, being of an economic nature, also got classified as developmental and accounted as ‘economic services’ expenditures.

India also classified all its expenditures as ‘plan’ and ‘non-plan’ expenditures. Again, plan was considered good and desirable and non-plan something of a non-desirable and bad expenditure. Curiously, only new developmental expenditure was recognized as plan expenditure. This required development expenditure incurred in the previous plan period to be shifted to the non-plan category.

The government accorded the highest priority to plan expenditure. The development expenditure of the previous plan came second in terms of priority. Non-development expenditure, which basically was the core sovereign function of government, was relegated to being non-priority expenditure.

The distinction between plan and non-plan was finally abolished in 2017. The Central government now approves, without any formal classification, schemes for development with a longer term (typically five to seven years) expenditures horizon. These schemes are budgeted under the heads of concerned line ministries and departments as line items like other